Sweat Bet

Motivating Fitness Through Competitive Betting

Problem

Problem Statement

While fitness is a cornerstone of health and well-being, consistently engaging in and committing to regular physical activity remains a significant challenge for many. Despite the best intentions to become healthier and more active, individuals often find themselves lacking the motivation and accountability needed to stick to their fitness goals. This disconnect not only hampers personal health improvements but also increases societal health burdens.

The Core Challenge

Many people aspire to improve their fitness levels and overall health but lack the right incentives and mechanisms to sustainably change their behavior. Traditional fitness apps and programs provide tracking and reminders, yet they often fail to engage users at a deeper psychological level that stimulates regular and enthusiastic participation.

How SweatBet solves the problem

Solution: Gamification and Financial Incentives

To address this gap, there is a compelling need to transform fitness into a more engaging, rewarding, and interactive experience. SweatBet proposes a solution by gamifying the fitness journey. By allowing users to place bets on their fitness goals, we introduce a tangible stake that significantly boosts motivation. This approach leverages the psychological impact of having "skin in the game," enhancing commitment and making the pursuit of fitness as compelling as it is beneficial. The goal is not just to exercise but to be vested in the outcome, turning routine workouts into exciting challenges that users are eager to undertake and succeed in.

How SweatBet solves the problem

Sign up

User will sign up on the SweatBet platform, enter their credit card details (or crypto wallet details), connect their Strava profile (similarly to how Garmin does) and then place their bet.

Create a SweatBet

Create a bet as an individual or create a challenge for other users to enter into.

Example:
- Run 20km this week
- Run a sub 60min 10k
- Enter and finish the Comrades

Set a deadline so that SweatBet knows when to check for your activity on Strava.

Play or Pay

The boys were in one of those moods and decided to enter the comrades together. We each placed a R1000 SweatBet to complete the race.

On the 9th of June at 11:59pm, SweatBet pulled our activities from Strava for the day and noticed that Albie didn't finish. (R1000 distributed to the rest of the group…)

Value Proposition

SweatBet transforms casual fitness bets into enforceable financial agreements with ease. By securely locking in the terms and conditions upon agreement, SweatBet ensures commitments are honored, reducing the likelihood of backing out. This platform not only enhances accountability but also integrates charitable giving, allowing users to pledge their wagers to philanthropic causes. As an added benefit, SweatBet facilitates tax deductions for donations made through our platform, aligning healthy habits with fiscal rewards.

Target Customer / Market Size

All running and cycling enthusiasts on Strava (including the wannabes)

Strava stats:

120M+	190+	40M	6B
Athletes	Countries	Uploads every week	Activities

South Africa stats:

- 1m registered ParkRun runners
- Over 400 running and cycling events which have at least 1000 participants (400,000 race participants per year)

Fitness is an eternal market!

Competition

Competitors:

https://georgehalachev.com/procrastination/6-accountability-apps
https://www.sweat.bet/
https://www.beeminder.com/
https://www.stickk.com/
https://gofuckingdoit.com/

Differentiation:
Automatic settlement of bets placed using the Strava API, Enhanced social features, stronger community engagement, and a more user-friendly betting system.

Each of the competitors identified above were built as general-purpose commitment contract platforms. SweatBet should specifically target the running and cycling community in South Africa.

Placing a bet is as easy as creating a WhatsApp group. (Add your contacts, bet description and a date). Strava and SweatBet will do the rest.

Business Model

- Transaction cost for facilitating bets
- Bet cancellation fees (20%)
- Non-adherence penalty (If both parties fail to accomplish the set goal then SweatBet takes the funds OR Charge transaction fee for facilitating transfer to the designated recipient)
- Potential commercial use for data in the future (eg. Insurance companies, partnerships with brands for unique betting experiences etc.)

Business Model

Additional revenue generation and services offered:

For Group bets, SweatBet takes the pool BUT we put that pool of funds into a shared pot where prizes and competitions will be held to win those funds back + use those funds for social initiatives (provide customers with s18A donation certificates to allow them to reduce their taxable income).

Allow for an investment option to be selected - Users can opt to put their pooled money into an investment product when they don’t adhere to their bet. (SweatBet will take an administration fee for facilitating this)

Funding Needed & Objectives

Funding needed: R50k

Funding will be used to facilitate the creation of an MVP to gauge demand and obtain user feedback!

Initial Marketing Plan:

- A single race event where the betting functionality is integrated with the race event organisers site.
- Collab with racepass.com to integrate betting functionality into their site.
- Approach 5 running clubs to market the SweatBet app